Required Quiz 8.1: Week 8 Quiz

Due May 17 at 11:59pm **Points** 20 **Questions** 20
Available May 4 at 12am - May 17 at 11:59pm **Time Limit** 30 Minutes

Submission Details:

Time:	8 minutes
Current Score:	20 out of 20
Kept Score:	20 out of 20

Instructions

Learning Outcome Addressed

- Demonstrate the ability to assess and manage financial risks and recommend an optimum capital portfolio for a firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, May 17, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submissions deadline.

Note: *This is a graded quiz and counts towards course completion.*

This quiz was locked May 17 at 11:59pm.

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	8 minutes	20 out of 20

Score for this quiz: 20 out of 20
Submitted May 16 at 7:13pm
This attempt took 8 minutes.

Question 1 — 1 / 1 pts

Expected value is calculated as:

Correct!
- Sum of (Probability × Outcome)
- Outcome / Probability
- Sum of outcomes
- Probability × Outcome

That's correct!

Question 2 — 1 / 1 pts

Joint probability is calculated by:

Correct!
- Multiplying probabilities (for independent events)
- Ignoring probabilities
- Adding probabilities
- Subtracting probabilities

That's correct!

Question 3 — 1 / 1 pts

Joint probability means:

- Average return
- Probability of one event

Total profit

Correct!

Probability of two or more events occurring together

That's correct!

Question 4

1 / 1 pts

Joint probability analysis helps in:

Reducing cost

Correct!

Evaluating combined uncertainties

Ignoring risk

Increasing profit

That's correct!

Question 5

1 / 1 pts

Branches in decision tree show:

Transactions

Assets

Expenses

Correct!

Alternatives or outcomes

That's correct!

Question 6

1 / 1 pts

Circle node represents:

Revenue

Correct!

Chance event

Decision

Expense

That's correct!

Question 7

1 / 1 pts

Expected value helps in:

Correct!

Decision making under uncertainty

Reducing sales

Ignoring risk

Increasing cost

That's correct!

Question 8

1 / 1 pts

Decision tree analysis is useful when:

No uncertainty

No uncertainty

Fixed outcome

Correct!

Multiple sequential decisions

Single decision

That's correct!

Question 9

1 / 1 pts

In decision tree, probabilities are assigned to:

Assets

Decisions

Accounts

Correct!

Outcomes

That's correct!

Question 10

1 / 1 pts

Certainty equivalent factor is:

Correct!

Between 0 and 1

Negative

Always greater than 1

Equal to 2

That's correct!

Question 11

1 / 1 pts

Risk-adjusted capital budgeting considers:

Only profit

Sales only

Correct!

Risk and return

Expenses only

That's correct!

Question 12

1 / 1 pts

Higher risk leads to:

Correct!

Higher required return

No change

Lower required return

Fixed return

That's correct!

Question 13

1 / 1 pts

Probability refers to:

Correct!

- Chance of occurrence
- Sales
- Certain outcome
- Profit

That's correct!

Question 14

1 / 1 pts

Risk-adjusted NPV method considers:

- Expenses
- Profit only
- Correct! Risk-adjusted discount rate
- Sales

That's correct!

Question 15

1 / 1 pts

Total probability must equal:

- 100
- 0
- Correct! 1
- 10

That's correct!

Question 16

1 / 1 pts

The main advantage of decision tree analysis is:

- No calculations
- Simplicity only
- Correct! Visual representation of decisions and risks
- Ignores uncertainty

That's correct!

Question 17

1 / 1 pts

Risk-adjusted discount rate increases when:

- Risk decreases
- Profit increases
- Cost decreases
- Correct! Risk increases

That's correct!

Question 18

1 / 1 pts

Risk-adjusted discount rate method involves:

- Adjusting cash flow only
- Ignoring risk
- Ignoring time value
- Correct! Adjusting discount rate for risk

That's correct!

Question 19

1 / 1 pts

Decision tree is a:

- Ledger account
- Mathematical formula
- Financial statement
- Correct! Graphical representation

That's correct!

Question 20

1 / 1 pts

Certainty equivalent approach adjusts:

- Correct! Cash flows
- Profit
- Sales
- Discount rate

That's correct!

Quiz Score: **20** out of 20

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